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Yale Program on Financial Stability

Lessons Learned

Christos Gortsos

By Rosalind Z. Wiggins

Christos Gortsos has been a professor of law at the National and Kapodistrian University of Athens since 2016 as well as a visiting professor of law at various other European institutions. Previously, he was a professor of international economic law and held other positions at Panteion University of Social and Political Sciences in Athens. He has taught and written extensively on European and international banking and financial law, capital markets regulation, and law and economics. From 2000 to 2017, he served as secretary of the Hellenic Bank Association. He advises the European Parliament on bank resolution and is vice president of the Board of Appeal of the European Supervisory Authorities. This Lessons Learned summary is based on an interview conducted in October 2023; the full transcript may be found [here](#).

Officials should think as broadly and creatively as possible when considering risks, even if they seem improbable, and then address any gaps in the financial stability framework before a crisis occurs.

Having been a close observer of the Greek banking industry, Gortsos shared his thoughts on the industry's experience during the Global Financial Crisis of 2007–09 (GFC) and then the Sovereign Debt Crisis of 2010–2012 (SDC). He pointed out that the GFC did not pose a “threat to the financial stability” because the “Greek banking system in 2008 was quite resilient.” He elaborated:

Greek banks were not exposed to the so-called toxic assets from securitization, which were around all over the world. At that time, by coincidence and not necessarily by prudence, the Greek banks were profitable and affluent for other reasons.

Still, remarked Gortsos, just as a banking crisis may negatively affect the real sector of the economy (as in the United States) or even the fiscal stance (as in Ireland), in Greece the opposite happened, with the fiscal crisis affecting the banking system.

At the beginning of 2010, the Greek government disclosed that its deficit level was 13%, well in excess of the 3% European Union (EU) maximum level permitted. In April of that year, it stated that it could not service its huge debt of EUR 240 billion, a significant portion of which was held by Greek banks. The possibility of the country's default on its debt caught the government and the EU woefully unprepared, largely, said Gortsos, because the parties involved thought these events to be so highly unlikely that no response measures had been adopted.

First, we can remark the following: the fact that Greece and other countries, who also defaulted then—namely, Portugal, Ireland, and Cyprus—revealed a weakness that I would term as a “disaster myopia.” Disaster myopia means that you have a very low probability risk, which you expect will never materialize. And when it [does] materialize, the cost may be [dis]proportionally very high.

That reflects the fact that Greece and the other countries were not operating in an environment where they would be exposed to foreign exchange risk because their currency was the single currency, the euro. This means that no one would have perceived [that] those countries which had adopted the euro [but were] on the verge of default, could ultimately fail. This was a problem of perception.

At the same time, the EU rules governing economic governance did not contain any robust rules on sovereign crisis management. This came up as a problem because of the crisis. There was nothing in place like [an] EU or, if you wish, a eurozone, IMF [equivalent]. That means that it was not yet conceived that a country whose currency is the euro could end up in a situation where it would not be able to refinance its outstanding debt in the markets and would need to resort to last-resort lending.

So, when Greece declared that it could [no longer] refinance its outstanding debt, the markets were asking for an interest rate premium of up to 20%, in euro. Thus Greece was de facto excluded from the markets. The problem became then who would finance that gap. The obvious candidate was the IMF, which has been a lender of last resort since its establishment.

However, Gortsos continued, the IMF limited what it would loan to the amount of Greece's quota (approximately EUR 30 billion) and so Greece and the EU had to scramble and design new instruments, a sovereign crisis management mechanism, to fill the gap.

Changes made after a crisis can help prepare the banking system to withstand the next one. However, risks evolve, so review and preparation should be continuous.

Gortsos described the substantial changes and enhancements to its banking regulatory system that the EU made following the GFC and SDC; many have proven effective. He specifically identified the enhancements to prudential regulation and supervision reflective of the Basel III framework as having had a positive effect.

The objective of these buffers is to assure that if a crisis like the COVID-19 crisis were to happen, then the capital buffers could be released to allow banks to absorb losses without being in danger of overstepping minimum regulatory capital requirements. So, COVID was a very good test that the rules adopted in the post-GFC era, mainly the Basel III rules on capital adequacy, liquidity, and capital buffers, as well as the macroprudential financial oversight framework, were all necessary.

And in that respect, banks in all countries, including in my country, were in a position to continue lending to the economy and supporting the real economy without putting the stability of the financial system in danger.

Gortsos also praised other new EU infrastructure such as the Single Supervisory Mechanism, which brought all banks under the supervision of the European Central Bank (ECB) and national banks, with the largest being directly supervised by the ECB. "That bold development was a response to the finding that one of the major causes of the GFC was not

primarily the lack of adequate prudential rules, but rather the lack of adequate supervision,” he said, noting that it was something he had often written about.

He also praised the bank resolution mechanism and expansion of the deposit insurance scheme. However, there is still more to be done. In Europe, the banking insolvency rules have not yet been harmonized, he said, and there is not a single deposit insurance scheme. Inside the EU and outside as well, he cites the largely unregulated shadow banking system and recent developments such as crypto currency and the possibility of cyberattacks as risks that need to be addressed.

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